

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System)

Docket No. RM26-4-000

**INITIAL COMMENTS OF
THE LOUISIANA AND MISSISSIPPI PUBLIC SERVICE COMMISSIONS**

On October 23, 2025, the Department of Energy (“DOE”) directed the FERC to initiate an advanced notice of proposed rulemaking (“ANOPR”), pursuant to 42 U.S.C. § 7173 (a), urging that it is in the public interest to provide a path for large loads (greater than 20 MW) to interconnect directly to the transmission system in a "timely, orderly, and non-discriminatory manner" under FERC jurisdiction. The Louisiana and Mississippi Commissions fully appreciate and support the goal of providing domestic industries, including large loads and data centers, access to timely, affordable, and reliable electric energy. It is critical for needed economic development opportunities in Louisiana to create investment, jobs, tax revenues, and salaries.

However, while large loads may need to interconnect quickly, generation, distribution, and transmission also are needed to supply those loads, and matching load, generation and delivery facilities is critical to serving load reliably. That reliability concern relates both to the new interconnecting load and the impacts to existing load served by the incumbent utilities. The states have exclusive authority under the Federal Power Act ("FPA") over generation resources, resource adequacy, distribution and distribution facilities, the intrastate transmission of electricity, and end-use retail sales.

The ANOPR asserts, without offering any evidence that large load interconnection is unreasonable incumbered, that federal jurisdiction is needed to timely interconnect end-use retail customers, which is traditionally within the purview of retail regulators. While the stated goal of

the ANOPR is laudable, the proposed implementation of that goal raises jurisdictional, reliability, resource adequacy, transparency, planning, and cost allocation concerns. In addition, Louisiana and Mississippi have not had any issues associated with the delay of the interconnection of large loads, and FERC should be mindful that any rules adopted could unintentionally result in delays, instead of acceleration of the desired interconnections. The ANOPR may be a solution in search of a problem. Any proposed rule that results from the ANOPR should not harm grid reliability, should be flexible, should not impose undue costs on retail customers, should respect state rules and procedures that have resulted in timely load interconnections, and should respect cooperative federalism and state jurisdiction under the FPA. In fact, the rule should not apply to any transmission owner or transmission provider in the absence of a demonstration that large load interconnections are being met with significant delays. If it is not broken, we do not need to fix it.

The Louisiana Commission has plenary authority to regulate the rates charged, services rendered, and operations of public utilities pursuant to the Louisiana Constitution, Article IV, Section 21(B), which provides:

The commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations, and procedures necessary for the discharge of its duties, and shall have other powers and perform other duties as provided by law.

It regulates vertically-integrated utilities and cooperatives operating in the Midcontinent Independent System Operator, Inc. ("MISO") and Southwest Power Pool, Inc. ("SPP") Regional Transmission Organizations ("RTOs"). It has historically exercised jurisdiction and authority over the interconnection of all large and small retail loads, retail sales, rates and services, generation selection and planning, and the delivery of electricity to retail customers. Until this ANOPR, FERC has never exercised authority over retail load interconnections The ANOPR

proposes to assert federal jurisdiction over end-user consumer interconnection, which appears to fall within the exclusive jurisdiction of state retail regulators. This expansion of federal jurisdiction is not needed in MISO South and SPP regions, the members of which mainly consist of vertically integrated utilities and cooperatives, and it is not needed in Louisiana and Mississippi.

I. COMMENTS

A. Jurisdictional and Cooperative Federalism Concerns

While the ANOPR purports to address only the interconnection of large loads to the interstate transmission system, an issue which viewed in isolation is arguably within the jurisdiction of the FERC, the interconnection process accomplishes little without actions to evaluate and approve any generation, distribution and intrastate transmission facilities needed to maintain reliability and resource adequacy – all matters that are within the exclusive jurisdiction of retail regulators. Interconnection of large loads is only one piece of the puzzle. There must be sufficient capacity and energy available to serve that load when needed (now and/or into the future) and there must be sufficient transmission and distribution available.¹ The Federal Power Act does not grant FERC jurisdiction over resource adequacy, *e.g.*, the siting and selection of generation needed to serve load.² That jurisdiction resides solely with the states.³ The FPA

¹ Interconnection service is separate and distinct from transmission service. FERC Order No. 2003 is 104 FERC ¶ 61,103, Docket No. RM02-1-000 (July 24, 2003).

² 16 U.S.C. § 824(b)(1).

³ *See, e.g., Entergy Nuclear Vt. Yankee, LLC v. Shumlin*, 733 F.3d 393, 417 (2d Cir. 2013) (quoting *S. Cal. Edison Co. San Diego Gas & Elec. Co.*, 71 FERC ¶ 61,269, at 62,080 (1995) (“[S]tates have broad powers under state law to direct the planning and resource decisions of utilities under their jurisdiction.”). FPA section 215, pertaining to electric reliability, explicitly leaves the construction of generation and transmission assets to state regulatory authority. 16 U.S.C. 824o(i)(2); *See also* 16 U.S.C. § 824(b)(1).

specifically precludes FERC from exercising authority “over facilities used for generation of electric energy.”⁴ Section 215(i)(3) of the FPA reserves jurisdiction over the “safety, adequacy, and reliability of electric service” to the states.⁵ The Supreme Court has recognized that states retain traditional authority over capacity needs, generator type, licensing, land use, ratemaking, and the like.⁶ FERC is not allowed to “aim at” or “target” matters that Congress reserved to the states.⁷ States are granted the jurisdiction over delivering energy to retail customers⁸. The retail rates and the terms and conditions of electric service are granted exclusively to the states. FERC jurisdiction is limited to wholesale sales. The ANOPR should not result in rules that intrude upon that exclusive jurisdiction.

FERC should adopt no rules that conflict or interfere with the states' obligation to ensure reliability and resource adequacy. FERC’s historic practice in areas where federal and state jurisdiction overlap has been to recognize that a balance must be maintained – cooperative federalism. For example, in Order No. 1000, while promoting efficiency through competition in transmission development, and despite any effect on wholesale rates, the Commission acknowledged state authority over transmission planning, siting and construction.⁹

⁴ 16 U.S.C. § 824(b)(1).

⁵ 16 U.S.C. § 824o.

⁶ *Pacific Gas & Elec. Co. V. State Energy Res. Conservation & Dev.*, 461 U.S. 190, 212 (1983).

⁷ *Nat’l Ass’n of Regul. Util. Comm’rs v. FERC (NARUC)*, 964 F.3d 1177, 1187–88 (D.C. Cir. 2020).

⁸ *Niagara Mohawk Power Corp. v. FERC*, 452 F.3d 822, 825 (D.C. Cir. 2006).

⁹ *Transmission Planning and Cost Allocation by Transmission Owning and Operating Public Utilities*, Order No. 1000, FERC Stats. & Regs. ¶ 31,323, at P 287 (2011), *order on reh’g*, Order No. 1000-A, 139 FERC ¶ 61,132, *order on reh’g and clarification*, Order No. 1000-B, 141 FERC ¶ 61,044 (2012), *aff’d sub nom. S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41 (D.C. Cir. 2014). (The Commission acknowledges that there may be restrictions on the construction of transmission facilities by nonincumbent transmission providers under rules or regulations enforced by other jurisdictions. Nothing in this Final Rule is intended to limit, preempt, or otherwise affect state or local laws or regulations with respect to construction of transmission facilities, including but not limited to authority over siting or permitting of transmission facilities.”).

Even if the FERC technically is granted jurisdiction over large load interconnections to the interstate transmission system, it should refrain from exercising that jurisdiction in locations where it is not needed under principles of cooperative federalism. The principle of cooperative federalism was described in *FERC v. EPSA*. The US Supreme Court in *FERC v. EPSA* addressed the balance between federal jurisdiction over wholesale markets and state jurisdiction over demand response. In that instance, it was FERC that argued the importance of respecting state authority when exercising federal authority, in that case, the right of a state to veto participation in a Regional Transmission Operator (RTO) -sponsored demand response program.

The Supreme Court agreed.

[T]he finishing blow to both of EPSA's arguments comes from FERC's notable solicitude toward the States. As explained earlier, the Rule allows any State regulator to prohibit its consumers from making demand response bids in the wholesale market. Although claiming the ability to negate such state decisions, **the Commission chose not to do so in recognition of the linkage between wholesale and retail markets and the States' role in overseeing retail sales.** The veto power thus granted to the States belies EPSA's view that FERC aimed to “obliterate[]” their regulatory authority or “override” their pricing policies. And that veto gives States the means to block whatever “effective” increases in retail rates demand response programs might be thought to produce. Wholesale demand response as implemented in the Rule is a program of cooperative federalism, in which the States retain the last word. That feature of the Rule removes any conceivable doubt as to its compliance with § 824(b)'s allocation of federal and state authority.¹⁰

Here, the “linkage” is between FERC’s potential jurisdiction over large load interconnection and the states jurisdiction over resource adequacy. As in *FERC v. EPSA*, the ANOPR, has the potential to adversely affect the state’s role in ensuring reliability and resource

¹⁰ *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260 (2016). (emphasis added).

adequacy. Guardrails protecting the state's role under the Federal Power Act should be required. The state's jurisdiction of authority over planning, cost allocation and sales to end-use customers must be maintained.

B. Expansion of Federal Jurisdiction is not Needed in MISO and SPP RTO Regions, and it is not Needed in Louisiana or Mississippi.

The ANOPR provides no sufficient demonstration that the current load interconnection process in MISO, SPP, Mississippi, or Louisiana violates the Federal Power Act or has resulted in delays in large load interconnections. The FPA requires that substantial evidence be presented showing that the existing rate is unjust, unreasonable, unduly discriminatory, or preferential.¹¹ In fact Louisiana, Mississippi and their respective state Commissions are working diligently, quickly, and effectively to attract and accommodate economic development, because the investment, job creation, tax, and other resulting benefits are sorely needed.

For example, Louisiana successfully attracted and approved electric resources to serve one of the largest data centers in the world that is being built in the state. In December 2024, Meta announced that it had selected a site in Richland Parish, Louisiana to construct a \$10 billion, AI data center (recently revised to \$27 billion). The project required new transmission and generation resources, including three new Combined Cycle Combustion Turbines ("CCCT") totaling approximately 2500 megawatts of capacity. The Louisiana Commission approved the infrastructure resources needed on August 25, 2025, about nine months after Meta's announcement. Working with Entergy Louisiana, LLC, the incumbent utility serving the Meta

¹¹ 16 U.S.C. § 824e(a).

facility, and the Midwest Independent System Operator RTO ("MISO"), studies needed for interconnection of the generation facilities were initiated utilizing a FERC approved expedited interconnection process.

In addition, the Louisiana Commission has approved and has under consideration billions of new transmission investments for Entergy Louisiana to provide infrastructure for new economic development projects, including the announced \$5.8 billion Hyundai Steel Mill in Ascension Parish, Louisiana. The Louisiana Commission has a proven track record supporting the timely consideration of large projects for economic development and domestic manufacturing, including the interconnection of large loads to the transmission and distribution systems.

As a result, any rules adopted should not be a one-size-fits-all proposition. Rules must take into account regional differences. State and RTO processes that have worked well should be accommodated and not changed. Flexibility is crucial to meeting the needs of new large loads and of the affected states.

Application of the ANOPR in Mississippi and Louisiana could be detrimental to large load interconnections and could delay needed projects. The state Commission processes, as discussed above, resulted in the approval of projects needed to interconnect a large data center in less than one year. The large data center and other new loads need rapid interconnection, but also firm transmission service, low cost rates, and often access to renewable resources. States need the flexibility to work with the new customers to find mutually acceptable locations for the customer facilities and for the utility facilities needed to serve those loads. By separating the interconnection process from the other state obligations, the needed coordination may be disrupted. The local transmission and distribution facilities needed to serve new large loads are largely planned from

the bottom up by the incumbent utilities in a process that considers the needed generation, the location of the generation, and the transmission and distribution facilities needed to interconnect the new loads together. Giving FERC jurisdiction over the load interconnection as if it were a standalone issue would hamper the efficient planning and development of these projects.

Further, the states have the authority and duty to develop protective measures in approving facilities needed to serve large loads, including measures designed to fairly allocate the costs and to protect reliability so that retail ratepayers are not unfairly burdened. This loss of retail control and full visibility could result in a diminishment of these protected measures and delays in approvals of the facilities needed to serve large loads, undermining the intended purpose of the ANOPR.

C. The Proposed 20 MW Threshold is Too Low

The ANOPR proposes a 20 MW minimum threshold for the definition of “large load” consistent with how the Commission defined large generation resources in Order No. 2003. The Louisiana and Mississippi Commissions suggest that 20 MW is too low and will result in FERC exercising interconnection jurisdiction over hundreds and thousands of new loads, far beyond FERC's capabilities of reasonably addressing. The threshold should be far higher and set to only address larger loads that are shown to be affected by interconnection delays. Otherwise, the large numbers of interconnection loads might result in more delays rather than creating efficiencies or benefits intended by the ANOPR. due to the sheer number of prospective large loads.

D. Conclusion

WHEREFORE, the Louisiana and Mississippi Commissions respectfully request that the ANOPR either be reconsidered or substantially modified to protect state jurisdiction and the reliability of the electric system, and to preserve a proven successful system of economic development in Louisiana, Mississippi, and other similarly situated states against the imposition of excessive costs on retail consumers. In addition, any rules adopted should be applied only in areas where delays in load interconnection delay large load interconnections.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the above has been served upon the official service list of this proceeding by email on November 21, 2025.

/s / *Noel J. Darce*